

Forging the future

The power of an idea—working together—is driving the Power of 32

by EVAN PATTAK

IMAGINE WHAT MIGHT HAPPEN if western Pennsylvania, eastern Ohio, northern West Virginia and western Maryland joined forces to pursue economic development. The result would be a powerhouse boasting 4 million residents and a treasure trove of natural resources. With those assets, the mega-region, if you will, would function as a colossus of global commerce, a much more potent force than any of the states could be acting alone.

It's a scenario you don't have to imagine because a far-reaching public/private leadership team from the four states is making it happen through an initiative called Power of 32. Still in its infancy, Power of 32 has begun to roll out collaborative projects aimed at putting the mega-region on an equal footing with Silicon Valley in California, the Research Triangle in N.C., or any of the most prominent clusters.

Pat Getty, president of the Claude Worthington Benedum Foundation, was among those who conceived Power of 32 (32 is the number of participating counties) when he discovered that many such regional visioning initiatives were under way or completed, both domestically and abroad. Worried that his region might fall behind, Getty and others invited the Allegheny Conference on Community Development, the Southwestern Pennsylvania Commission, and the Greater Pittsburgh Nonprofit Partnership to help plan a similar initiative.

"There's a growing appreciation of the notion that, in a global economy, the central unit is the mega-metropolitan region," Getty says. "The wonderful thing is that it's no one's jurisdiction. That made it much easier for good ideas to come forward."

The notion of a mega-region quickly gained traction. As Nick DeIuliis, president of CONSOL Energy Inc. and a P32 participant, puts it, "Pittsburgh may be in the Commonwealth of Pennsylvania, but our economic ties make us much more

the capital of Appalachia. Look at the drivers of the economy, culture and how we view things socially. These 32 counties have so much in common."

The founding organizations recruited widely and well. P32 now includes more than 150 leaders from the private, non-profit, government, philanthropic and institutional sectors. Moreover, that core group spent many months soliciting ideas from the public in 156 ascertainment sessions. Based on that input, P32 leaders have divided into six teams—community & people, economy, education, environment, government, and transportation & infrastructure—that have developed 14 projects that will be launched now to reach full flower by 2025.

Here is a look at some of the most promising.



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A fund of funds

For years, the region has suffered a shortage of early-stage capital for start-ups. P32 will address that with a huge fund, \$100 million strong, for early-stage investment; a pot that big could offer later-stage support as well. Scott Rotruck, vice president of corporate development for Chesapeake Energy Corporation and member of the economy team, predicts the fund will attract both institutional and individual investors, including first-time angels.

"The shale industry has conferred so much immediate wealth in the area that we have a wonderful new source of angel investors," he says. "Individuals who now have tremendous financial capacity may want to reinvest in their own region."

The fund will target the "whole continuum of entrepreneurial endeavor," Rotruck says, but it also will place significant chunks with existing venture capital groups, perhaps stipulating that half that amount be plowed back into the mega-region.

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If we build it, they will come

Long active in creating shovel-ready sites for business expansion and relocation in southwestern Pennsylvania, the Allegheny Conference now will spearhead the P32 push to bring such amenities to the mega-region.

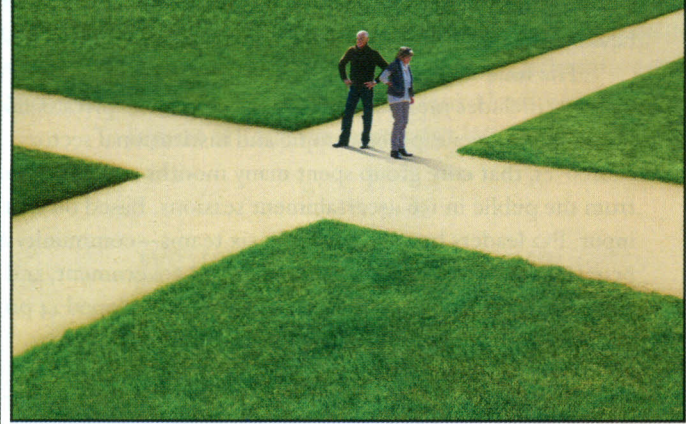
"Businesses are not interested in locating in a place that needs to be permitted and have roads and utilities extended," says Ken Zapinski, senior vice president of energy & infrastructure for the conference and member of the P32 transportation & infrastructure team. "They want a place where they can begin building their facilities tomorrow. We recognize that a lack of

ready-to-go spaces is hindering development. Locally, we have been successful in increasing the number of such sites, but that inventory has been whittled down. There's less money at the state and federal levels to do this sort of thing, yet the need is just as great, so we need to find creative ways to do it."

STEMing the tide

When the education team analyzed workforce development throughout P32 counties, it found strong elementary schools and

"At the intersection of *Don't Know* and *Who Does*."



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four-year colleges but inadequate emphasis on STEM—science, technology, engineering and math. Historically, this has been the province of technical schools and community colleges, so the first project from this team will focus on reinforcing that link in the workforce development chain.

“These schools are absolutely critical to every type of opportunity for the region, but they have been sort of an afterthought,” says DeLuliis, co-chair of the education team. “I think of them as ‘gateway institutions’ because they’re the gateway to bigger and better things. A significant percentage of their students will take the next steps to four-year degrees and graduate programs. Before you know it, that’s the pipeline of leadership for the region.”

The Energy Alliance of Greater Pittsburgh will lead this project with participation from community and technical colleges, workforce investment boards and industry. One goal: creating common curricula so that graduates are ready to plug into jobs anywhere in the mega-region without needing significant additional preparation.

Taking the fright out of freight

Much of the mega-region’s freight continues to move by highway, which can be energy-intensive and murder on roads. P32 thinks there’s a better way.

“Our region generally is blessed with great railroads and water transportation that a lot of places can’t match,” Zapinski says. “The question is, how do you use those to the best advantage for economic development and sustainability? The really good thing coming out of this process is the explicit recognition that these systems go beyond borders, and that we need to look at them holistically.”

The Allegheny Conference, which will shepherd this project, intends to bring together all stakeholders to determine what “pinch points,” as Zapinski calls them, are preventing the shift of more shipping to rail and waterways.

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pronged approach to rural development by convening a meeting of trail organizations, the fund already is a pillar of support for trail-related growth. Along the Great Allegheny Passage, it has an investment portfolio that includes campgrounds, whitewater rafting providers and Living Treasures Animal Park.

That's where the lions and tigers and bears come in. For the fund's loan to Living Treasures, the animals themselves are collateral. Kahley isn't too worried about becoming a zookeeper; of the fund's trail-related development loans, only about 2.5 percent are non-performing.

* * *

It's an ambitious agenda, one that would be easily short-circuited if participants revert to competition and jurisdictional squabbling. To guard against that, P32 has formed an implementation committee chaired by Jim Clements, president of West Virginia University, who indicates that regular communications will be his

chief method of persuasion.

"That's one of the keys," he says. "There might be some natural competition among participants, so you have to bring people together on a regular basis and not let them lose sight of the bigger picture. We have to believe we can be successful together."

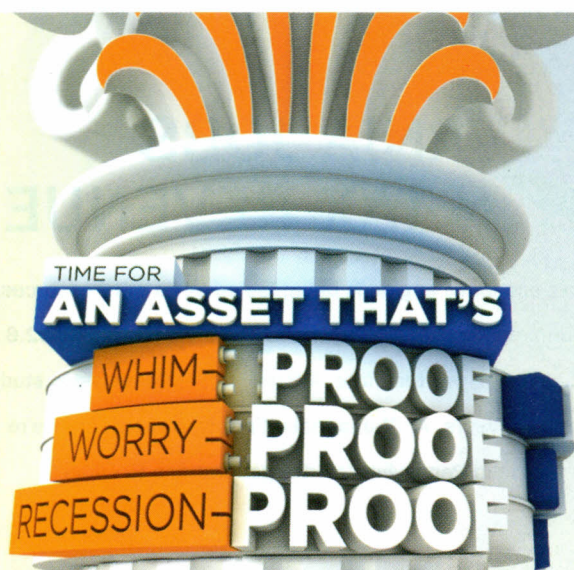
Greg Babe, president and CEO of Bayer Corporation and Bayer MaterialScience, who also serves on the implementation committee, sees the panel as "one of the tools that the teams have to help them knock down barriers."

"I'm not a Pollyanna on this," Babe says. "I understand what some of the challenges will be. There may be elected officials prioritizing the interests of their constituencies rather than those of the broader region. We have to help them understand why a win-win approach in the region has greater value." **PQ**

Evan Pattak is a freelance writer, editor and publicist in Pittsburgh.



EDITOR'S NOTE: On the following 16 pages, Pittsburgh Quarterly is proud to include a special section produced by the Power of 32. The report outlines the civic project's goals and objectives to improve this region by 2025. For more information, visit www.powerof32.org.



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